**UNITED STATES OF AMERICA**
**Before the SECURITIES AND EXCHANGE COMMISSION**

ADMINISTRATIVE PROCEEDING File No. 3-21987

In the Matter of **MARCHWOOD ASSET MANAGEMENT LLC**, Respondent.

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# DIVISION OF ENFORCEMENT'S OPPOSITION TO RESPONDENT'S MOTION FOR SUMMARY DISPOSITION AND APPLICATION FOR FEES

**Filed:** February 3, 2025

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## PRELIMINARY STATEMENT

Respondent's motion rests on a single proposition: that in 2011 the Commission's staff examined this arrangement and required nothing of Respondent. Respondent's own chief compliance officer wrote to the staff on June 2, 2011 to say the opposite, in her own words, over her own signature and that of Respondent's managing member.

The Division served that letter, and eleven other documents from the 2011 examination, on January 22, 2025.

## STATEMENT

### A. The 2011 examination identified the arrangement and required its termination.

On April 20, 2011 the staff issued a deficiency letter in examination 2011-0447. Item 4 identified Section 6(c) of Respondent's standard advisory agreement — standing authority to instruct a client's custodian to withdraw or transfer funds or securities, not limited to the advisory fee — as custody within Rule 206(4)-2(d)(2)(ii), across 214 accounts holding approximately $198 million; explained that the fee-deduction exception at Rule 206(4)-2(b)(3) was unavailable because the authority was not confined to the fee; and identified Respondent's failure to obtain the surprise examination required by Rule 206(4)-2(a)(4).

### B. Respondent accepted Item 4 and gave an undertaking without an expiration date.

On June 2, 2011 Respondent's chief compliance officer wrote:

> "Marchwood accepts Item 4. Effective June 1, 2011 all 214 affected client accounts have been transferred to Signal Peak Trust Company, a qualified custodian unaffiliated with Marchwood, under custodial agreements that give Marchwood no authority to withdraw funds or securities. We have discontinued the direct fee-debit instruction described in Item 4 firm-wide. We will not resume it."

And:

> "Marchwood further undertakes to apply this same treatment to any advisory accounts it acquires or onboards in the future … This undertaking is not limited to calendar year 2010 or to any other period and is given without an expiration date."

And:

> "Please treat this letter as the corrective action commitment on which the staff's closing of examination 2011-0447 is conditioned."

**C. The closing letter is the acceptance of that undertaking, not a clearance.**

The closing letter Respondent relies on states that "based on the corrective actions described in your response, the staff has closed this examination." The response it refers to is the June 2 letter. The letter also states that the staff may verify the corrective actions at a subsequent examination, and expressly disclaims any determination that Respondent has complied with the federal securities laws.

**D. Respondent applied the undertaking itself, unprompted, in 2013.**

On October 21, 2013, with no examination open and no request from the staff, Respondent wrote to the branch chief describing its application of the undertaking to the sixty-one accounts acquired from Hollis Grange Advisers, Inc.: all sixty-one now held at the qualified custodian, the fifty-three not already there transferred on October 14, 2013, fourteen inherited withdrawal authorizations revoked rather than assigned, clients re-papered onto agreements without withdrawal authority, and an independent public accountant engaged for a surprise examination covering an eleven-day exposure. Respondent's letter states that the undertaking "is not limited in time and by its terms reaches accounts we acquire."

A party that did not understand itself to be bound does not do this.

## ARGUMENT

**I.** There is no genuine issue of material fact that the 2011 examination closed on a written undertaking rather than on a finding that the arrangement was permissible. Summary disposition in Respondent's favor is unavailable.

**II.** Reliance on a staff closing letter is not a defense to a violation of the Advisers Act in any event, and the closing letter here disclaims the reading Respondent gives it on its face.

**III.** The conduct charged from March 2019 is a resumption of the precise practice Respondent undertook not to resume, on a book Respondent's undertaking expressly reached.

**IV.** Respondent's noticed application for fees under the Equal Access to Justice Act is premature under Rule 44 in any event, and should be denied on the merits if it is ever filed. A position supported by the respondent's own signed undertaking, and by the respondent's own subsequent performance of it, is substantially justified.

## CONCLUSION

The motion should be denied and the noticed application for fees denied.

Respectfully submitted,

**/s/ Terrence Aubuchon**
Senior Counsel, Division of Enforcement